All the income received cannot be spent. Direct tax payments like income tax are to be paid out of income. These have to be deducted to arrive at disposable income.

Gross national disposable income measures the income available to the total economy for final consumption and gross saving. National disposable income is the sum of disposable income of all resident institutional units or sectors.

The whole primary income received by the factors of production involved in the production process is not retained by them. A part is transferred to non-residents. At the same time resident units may receive transfers originating out of primary incomes in the Rest of the World.

Gross national disposable income is equal to GNI less current transfers (other than taxes, less subsidies, on production and imports) payable to non-resident units, plus the corresponding current transfers receivable by resident units from the rest of the world.

GNDI = GNI + (Current transfers receivable by resident units from the Rest of the World – Current transfers payable to non-resident units to the Rest of the World)

GNDI = GNI + Net current transfers from ROW

As said earlier GNI does not include current transfers, the GNDI is arrived at by adding it to GNI.

Current transfer is a transaction in which one institutional unit provides a good or service to another unit. It is provided without receiving from the latter any good or service directly in return as counterpart. It does not oblige one or both parties to acquire, or dispose of, an asset.

Current transfer payments are made as a part of social responsibility. The receiver need not pay anything in return directly. These payments are made not against any productive activity on the part of the